

MODERN MOMENTUM

The first computer-based study of momentum was by Robert A. Levy (1967). Levy coined the phrase “relative strength,” which is a good way to characterize this style of investing. Academics later renamed this systematic, quantitative approach “momentum,” which is a more generic term also used by practitioners to mean buying strong stocks. Discretionary dot-com traders (“gunslingers” who thought a horse is easiest to ride in the direction it is already going) during the 1990s were often called momentum players. This confusion between systematic, rules-based momentum and seat-of-the-pants discretionary momentum persists even today. Levy’s term “relative strength” is a much more accurate description of quantitative, rules-based momentum, but Levy presented his findings before momentum became respectable to the academic community. When academics caught on to momentum, they probably did not want to have their work associated with Levy. They preferred instead to engage in identity theft by changing the name from *relative strength* to *momentum*. They were either unaware that this term *momentum* was already being used by practitioners to mean something similar but different—or they just did not care.

Levy’s initial study covered five years of data using 625 NYSE stocks. Levy (1968) later expanded his study and wrote a book on the subject of relative strength investing. Levy said:

The stocks which historically were among the 10% strongest appreciated in price by an average of 9.6% over a 26-week future period. On the other hand, the stocks which historically were among the 10% weakest appreciated in price an average of only 2.9% over a 26-week future period.

Michael Jensen, a respected academic, criticized Levy for ignoring transaction costs and risk factors.

Later, Akemann and Keller (1977) demonstrated superior relative strength results after transaction costs when using S&P industry groups from 1967 through 1975. Bohan (1981) showed attractive results applying relative strength momentum to 11 years of S&P industry group data. Brush and Boles (1983) presented evidence of excess returns from relative strength momentum applied to 18 years of stock data, even after adjusting for transaction costs and risk. Despite the growing evidence of abnormal